



# JPMorgan Chase & Co

**NYSE: JPM**

**Recommendation: LONG**

## Financials Coverage

Will Surett  
Manish Vankadhara  
Sanskriti Nayak  
Simar Singh  
Jash Shah

# Investment Overview

*JPM is a fortress that keeps getting stronger*

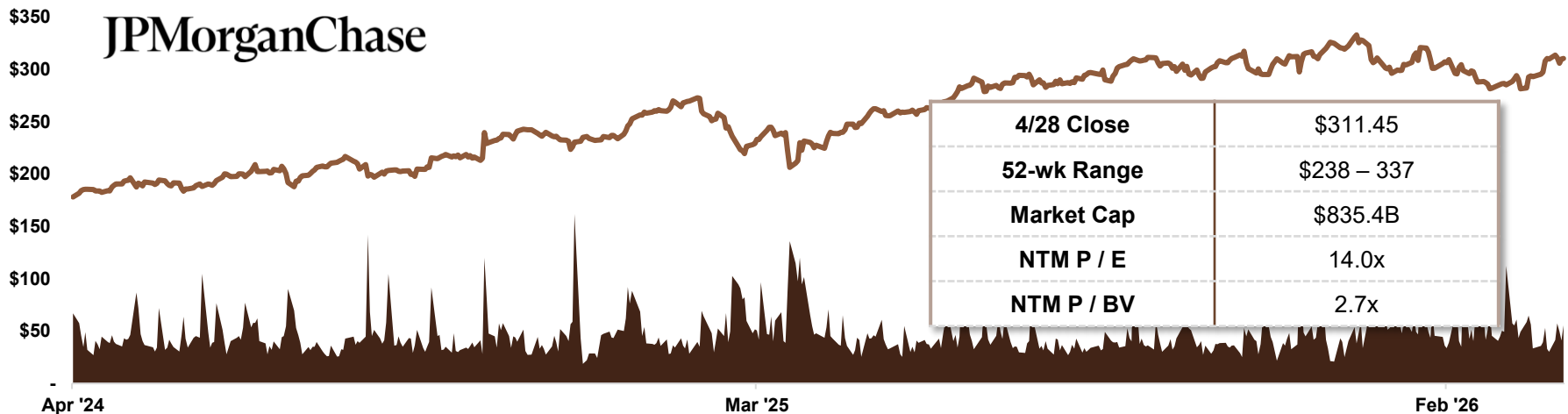


## Recommendation and Thesis Outline

We recommend **JPM** as a **BUY** with a **3-year price target of \$420** per share, representing an upside of **~35%** from April 28, 2026 close

- The U.S banking landscape is undergoing a transition that **favours the giant corporations**
  - Regional banks are under heavy pressure from rising funding costs and tightening regulatory scrutiny
  - JPM's large size allows them to take advantage of periods of volatility
- **Extensive technology spending** has been driving JPM's growth
  - JPM is the largest technology spender out of all financial institutions leading to expenses growing much slower than revenue over the last 5 years
- NIL Resiliency and **superior ROTCE** are driving strong returns
  - JPM operated at a 20% ROTCE in FY2025 and is tracking for ~21.5% for FY2027, as the firm shifts towards a fee-based model

## JPM 2-YR Stock Performance and Key Metrics





## Company Overview

# Company Overview

The highest-quality universal bank



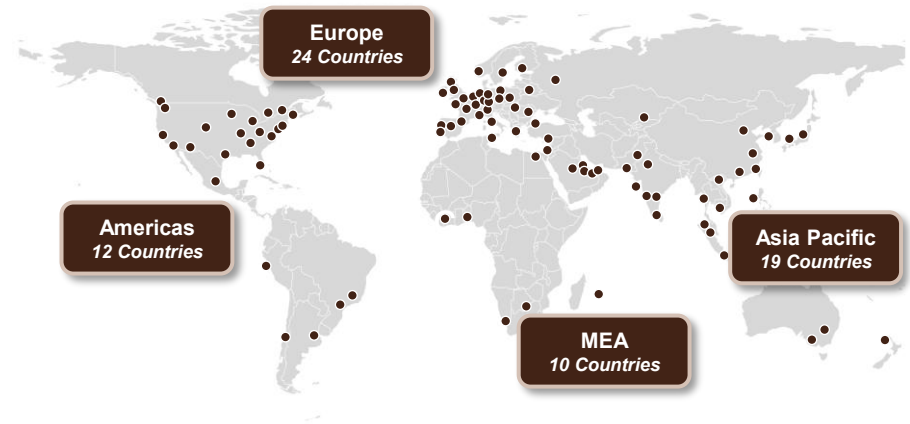
## America's Largest Bank's by Scale

### Key 2025 Metrics

|                              |          |
|------------------------------|----------|
| Total Revenue                | \$182.4B |
| Net Income                   | \$57.0B  |
| ROTCE                        | 19.5%    |
| AUM                          | ~\$4.8T  |
| Employees                    | 317,000+ |
| Countries of Operation       | 66       |
| % Share of Total US Deposits | ~13.5%   |

## Strong International Presence

### JPMorgan Chase Global Locations



## Key Business Segments

### CCB Consumer & Community Banking

**\$76.0B**

Retail Banking · 60M+ customers · 4,700+ branches

### CIB Commercial & Investment Bank

**\$78.5B**

M&A Advisory · Capital Markets · Sales & Trading

### AWM Asset & Wealth Management

**\$24.1B**

\$4.8T AUM · Private Banking · 19 countries

### CORP Corporate

**\$3.8B**

Treasury & Investments · Mid-market Lending

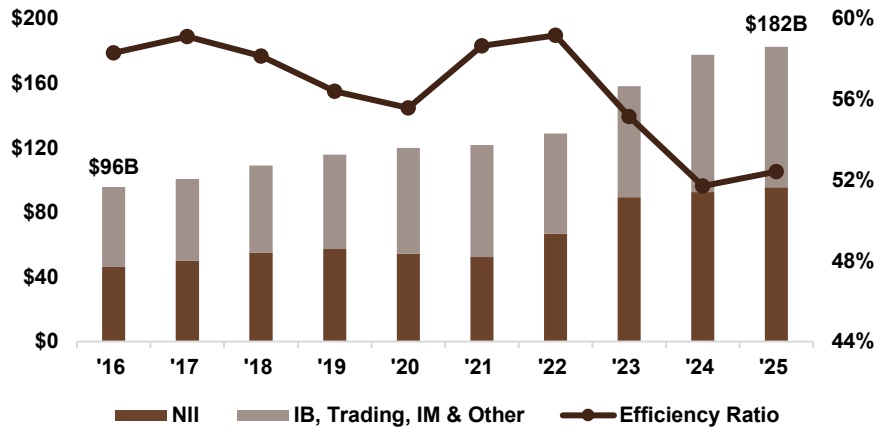
# Financial Snapshot

Disciplined cost control and low-cost funding drive sustained returns



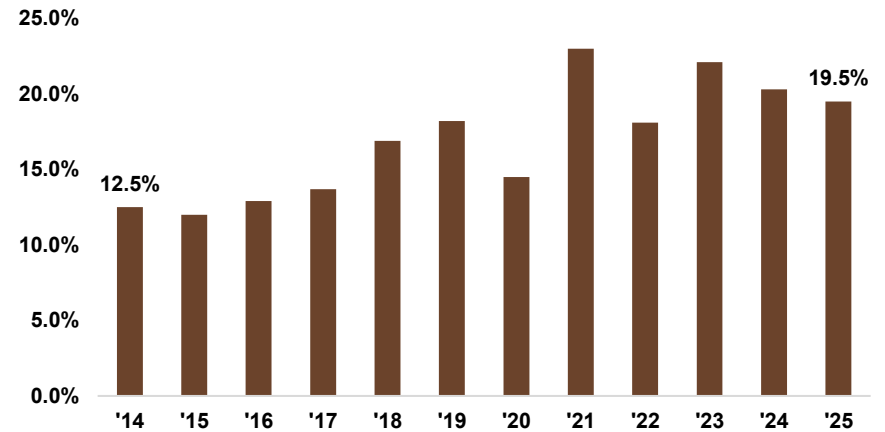
## Enhanced Efficiency...

Segment Revenue (\$B) and Efficiency Ratio<sup>1</sup>



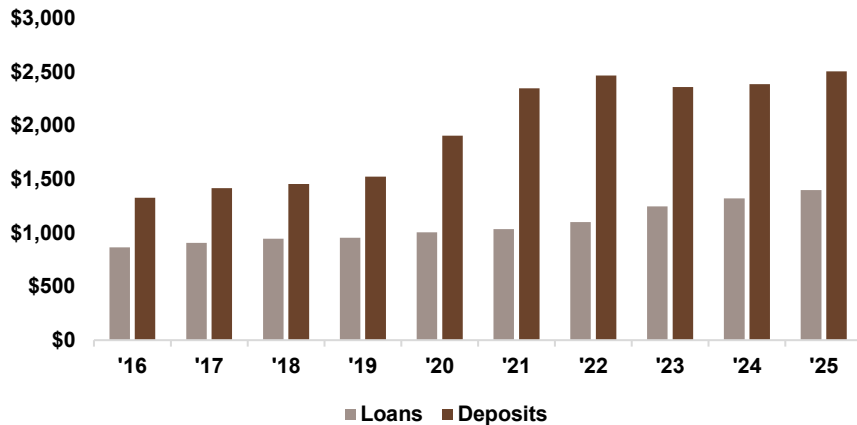
## ...Has Driven Supreme ROTCE

Return on Tangible Common Equity (ROTCE)

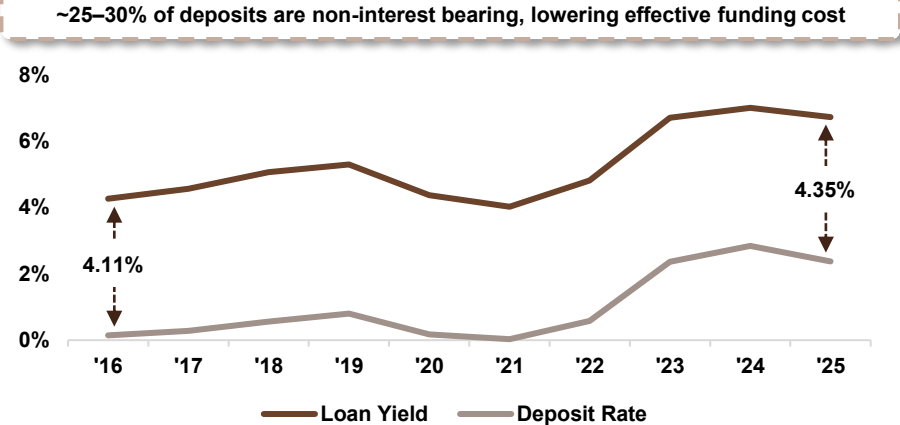


## Low-cost Deposits Drive Net Interest Margin Expansion

Loans and Deposits (\$B)



Loan Yield & Deposit Rate (NIM %)



# Management Highlight

Renowned management spearheads future innovation



## Key Players In Management



**Jamie Dimon**

Chairman & Chief Executive Officer



**Jeremy Barnum**

Chief Financial Officer



**Jennifer Piepszak**

Chief Operating Officer



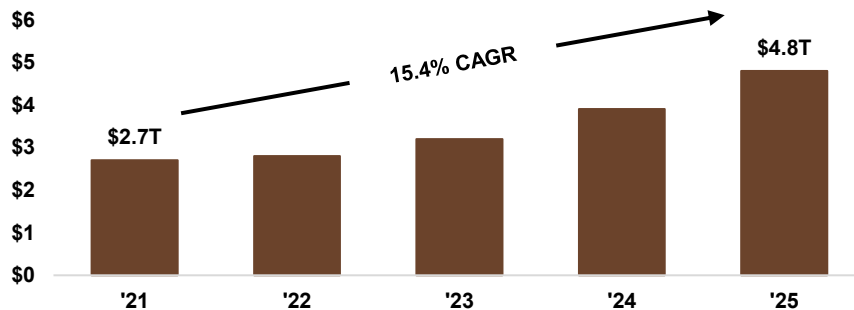
**Daniel Pinto**

Vice Chairman

## Growth Plans

### AUM (\$USD) Growth in Trillions

JPM's AUM has grown steadily since 2021, reflecting that strength of its brand, scale, and client retention.



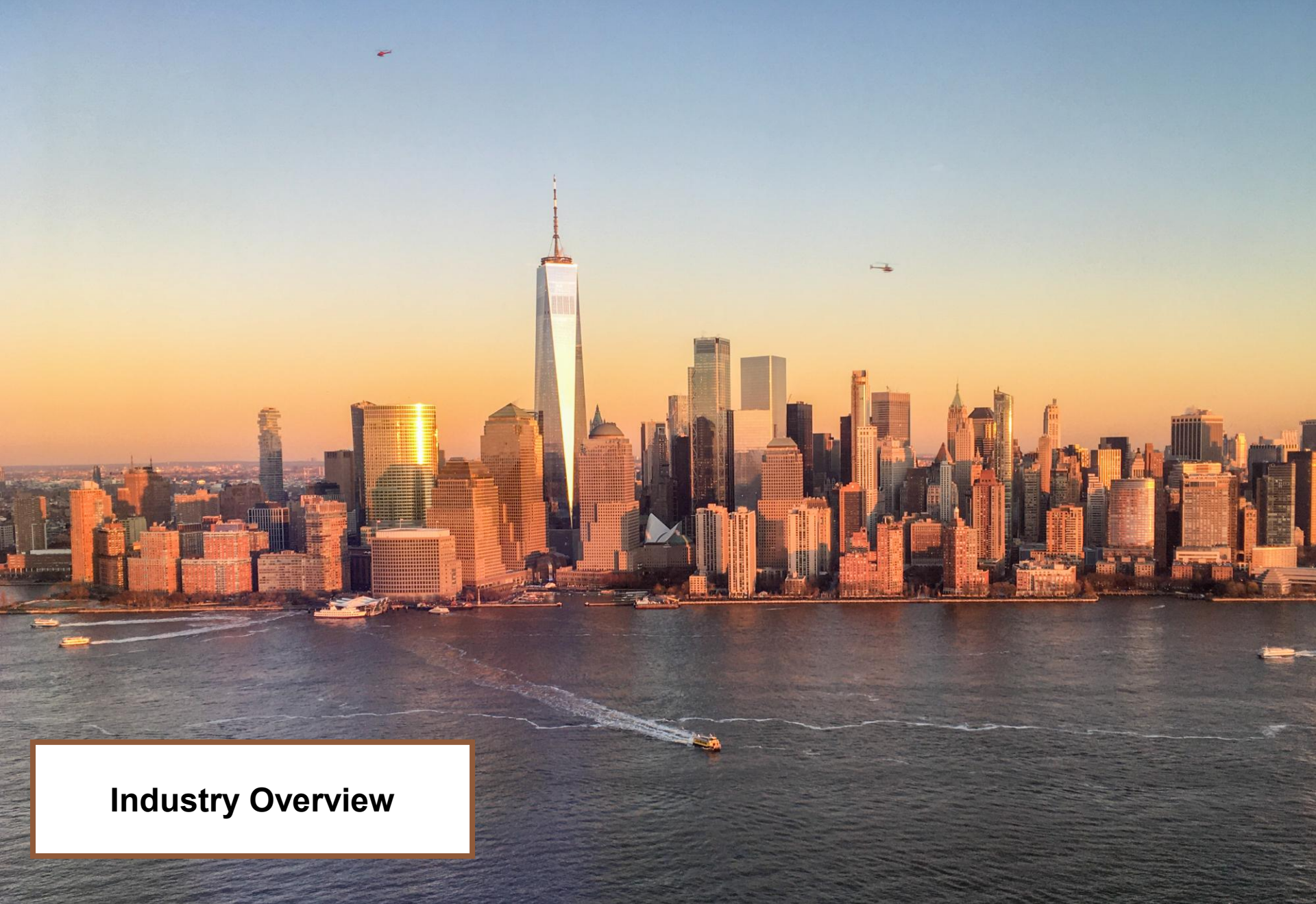
### Goals for 2026



Continuous **innovation** and transformation by transforming investments in resiliency (**10% YoY growth in Tech Spending**) into outperforming digital platforms to improve **customer experience**.



Open **160 branches** in 30 different states and renovate ~600 locations to strengthen presence as a leading client franchise and **deepen client relationships**.



## Industry Overview

# Industry Overview

Current U.S. banking landscape

## Major Players in the Industry

### Large Cap Universal Banks



### Regional Banks

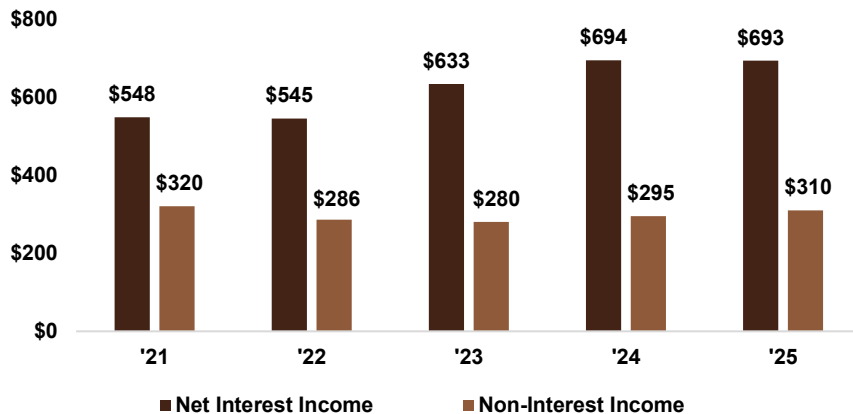


### Fintech/Digital Banks



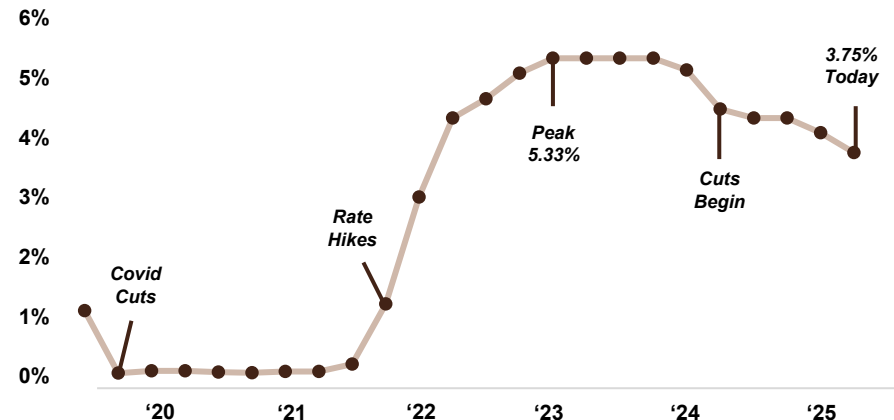
## US Banking Industry Revenue Diversification

NII & Non-Interest Income Revenue (\$B)



## Interest Rate Environment

Interest Rate Shifts from 2020 - 2025

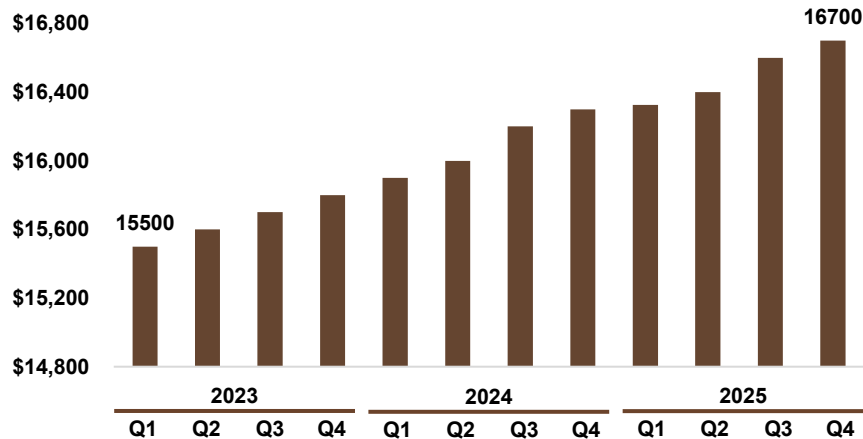


# Industry Tailwinds

Consumer spending, the rate environment, and technological advancements are driving growth.

## Consumer Appetite For Spending Is Growing

Consumer Spending (\$USD) in Billions



## Interest Rate Environment Keeps Deposit Costs Lower

Lending Rate Environment

Credit Card Rate  
Charged to  
borrowers

0-12%

20-28%

Deposit rate  
Paid to depositors

0-4%

4-8%

0% 4% 8% 12% 16% 20% 24% 28% 30%

Lower range — credit card

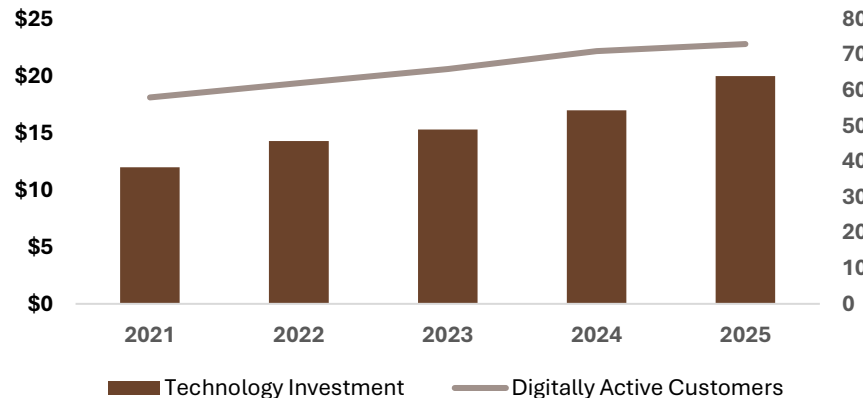
Upper range — credit card

Lower range — deposit

Upper range — deposit

## Digital Interaction Growth

Technology Spending (\$USD) in Billions vs Customers in Millions



## Summary

Key Drivers in the U.S. Banking Space



Consumer spending remains elevated, supporting JPMorgan's NII



Extensive tech spending is fostering digital expansion and fostering more customer interaction



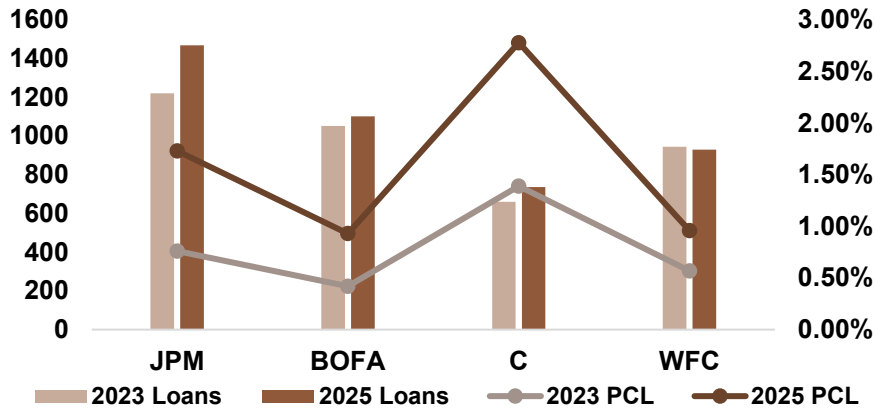
Increasing capital markets activity generates stronger fee-based revenue for banks

# Industry Headwinds

Cyclical and structural challenges weigh on industry profitability

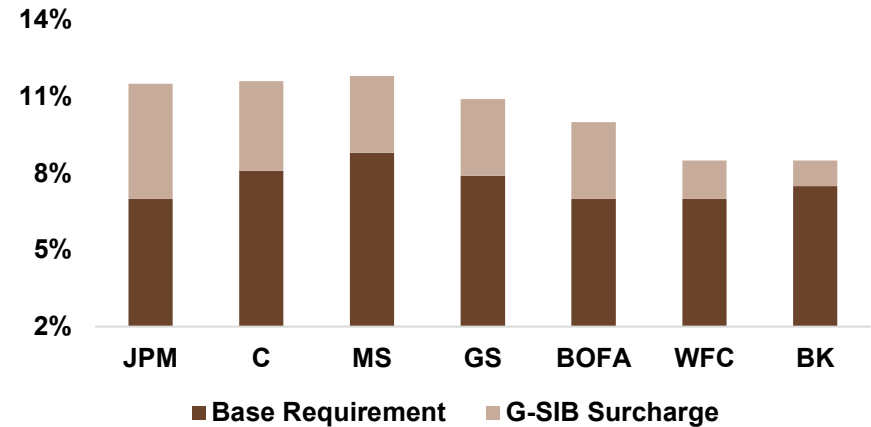
## Recession Risks Drive Surge in Loss Provisions

Provision for Credit Losses Growth (\$B)



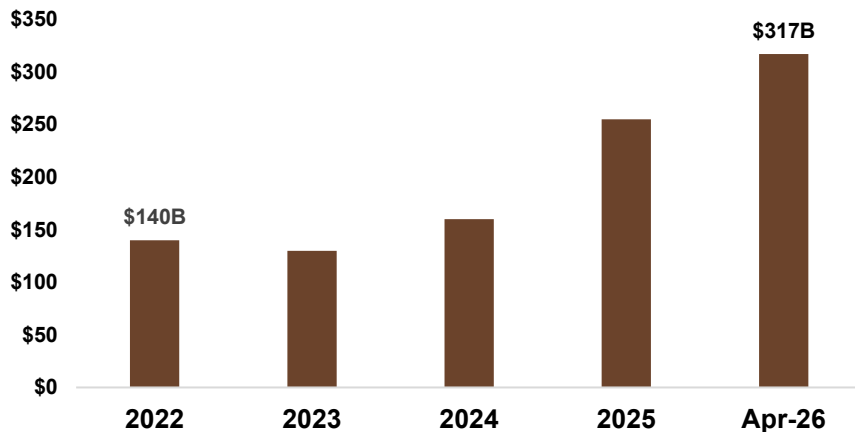
## Higher Capital Requirements Compress ROE

G-SIB Capital Surcharge by Bank



## Stablecoin Growth Threatens Deposit Base

Stablecoin Market Capitalization (\$B)<sup>1</sup>



### Supercharged by Genius Act



- Stablecoin market cap hit \$317B as of April 2026
- Represents more than 50% growth since early 2025

### Siphons Billions in Deposits from Banks<sup>2</sup>



- \$500 billion projected outflow from developed-market banks by the end of 2028 (Standard Chartered)

A photograph of the JPMorgan Chase building entrance at night. The building has a modern glass facade with the company name in large, illuminated, gold-colored letters. A woman in a purple shirt and white pants stands in the center, looking towards the entrance. Two men in suits stand on either side of her, one near a set of stairs on the left and another further right. The scene is lit with warm interior lights and cool exterior lights.

# JPMorganChase

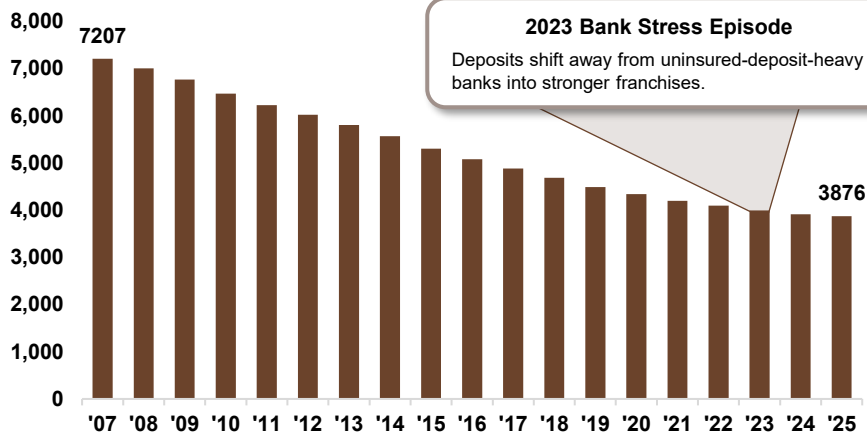
## Investment Thesis

# Bank Consolidation Favors the Giants...

As the U.S. banking market compresses, JPM is positioned to capture share

## The U.S. Banking Industry is Consolidating Quickly

# Commercial Banks in the United States<sup>1</sup>

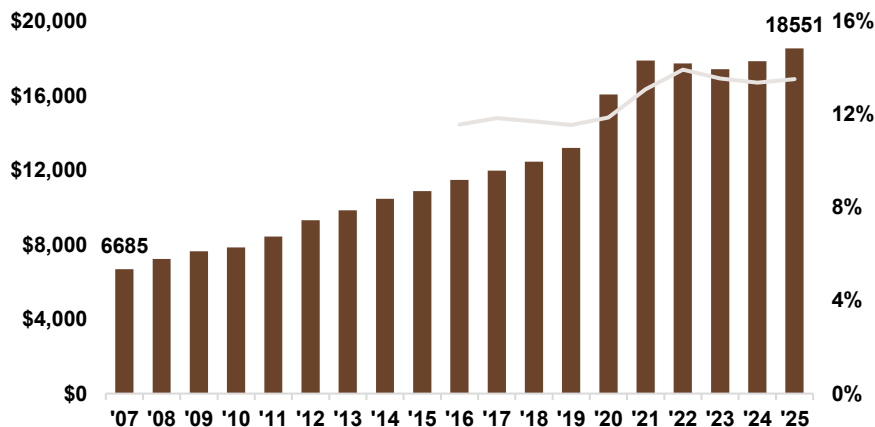


## Why is This Happening?

- 1 Higher regulatory and compliance costs
- 2 Lower interest rates and weaker spreads
- 3 Technology cost scale efficiency

## Consolidation Drives Structural Profitability

Total U.S. Deposits (\$B)<sup>1</sup> and JPM Deposit Share (%)



## What This Means for JPM



### Market share consolidation

Deposit share gains accelerate as smaller banks exit



### Structural funding advantage

Scale enables lower-cost, more stable deposit base



### Earnings impact

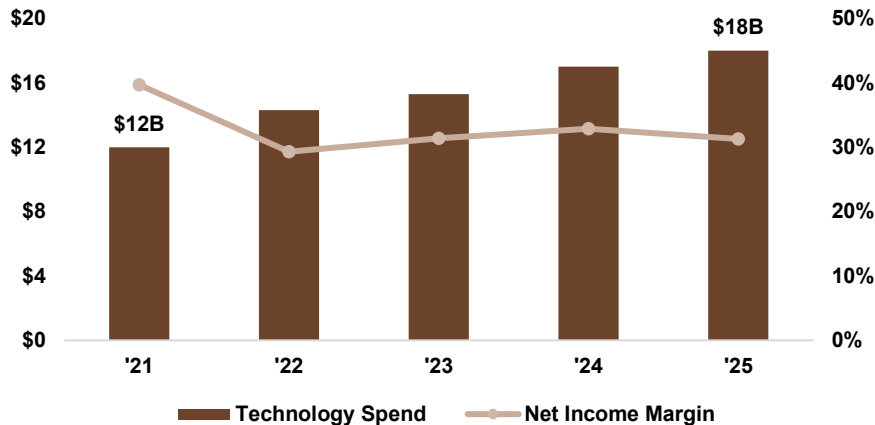
Improved funding mix supports durable NIM and ROTCE

# Tech Spending Drives Growth

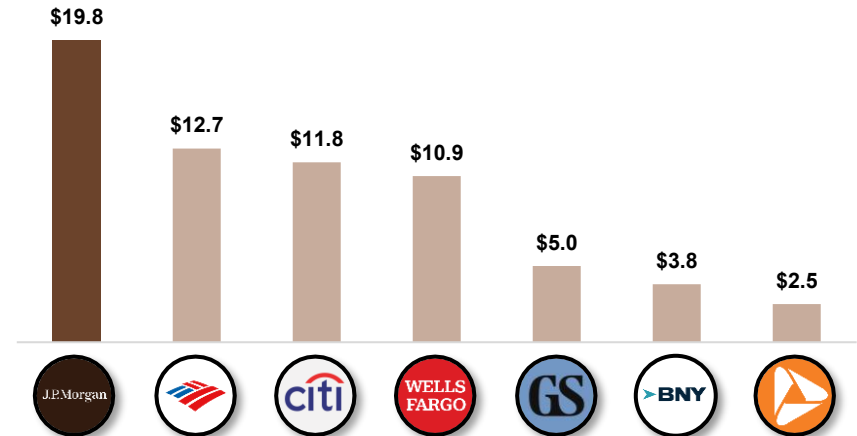
Targeted tech spend allows JPM to improve efficiency and customer satisfaction

## Net Income Margin Remains Unaffected Despite Consistent Increases in Tech Spend

Technology Spend (\$B) and Net Income Margin



Technology Spend (\$B) vs. Competitors



## Internal Incorporation

### JPM is Working to Ensure Internal Operational Efficiency



"We will not put our heads in the sand. We will deploy AI, as we deploy all technology, to do a better job for our customers (and employees)."  
- Jamie Dimon, Letter to Shareholders 2026

"JPM will be an endgame winner in the AI space...if you have a very high tech spend and you know exactly what you're doing and where you're headed and you're very disciplined about it, you have a higher probability that you're going to have success."

-Mary Callahan Erdoes (CEO of JPM AWM Branch)



## External Incorporation & What's Coming

### JPM is Deploying New Technologies to Customers and Businesses



Virtual Customer service platforms allow for ease of use from anywhere.



Integration of Buy Now, Pay Later (BNPL) allows for JPMorgan to stay competitive in a new era of spending.



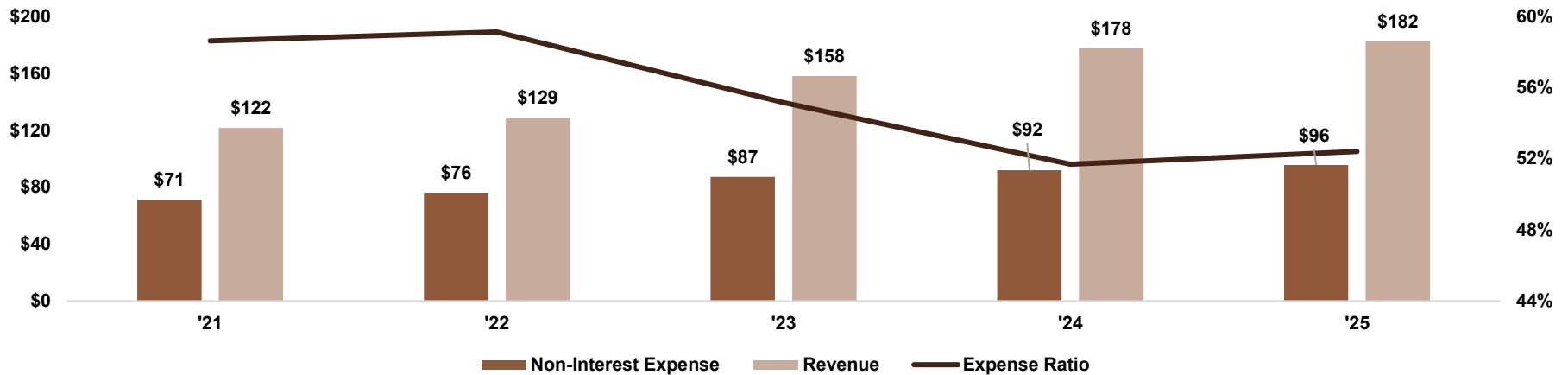
Expansion of Virtual Card with Mastercard into Europe will generate more B2B revenue.

# Seeing Returns in the Form of Efficiency

JPM's cutting-edge technology use reduces costs and increases versatility

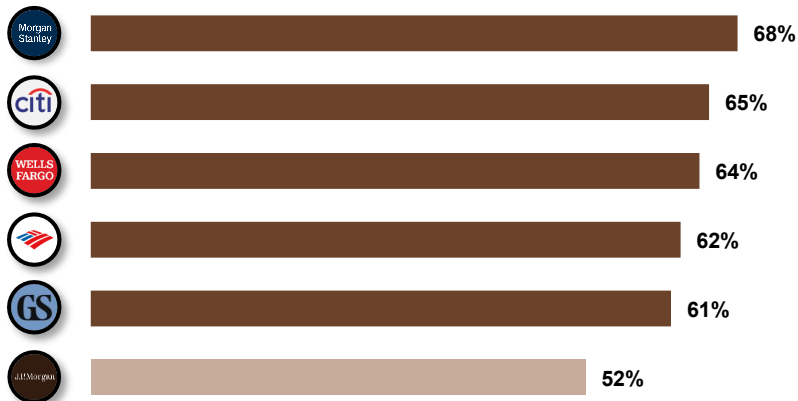
## JPM's Efficiency Ratio is Feeling the Benefits

Non-Interest Expense, Revenue, and Expense Ratio



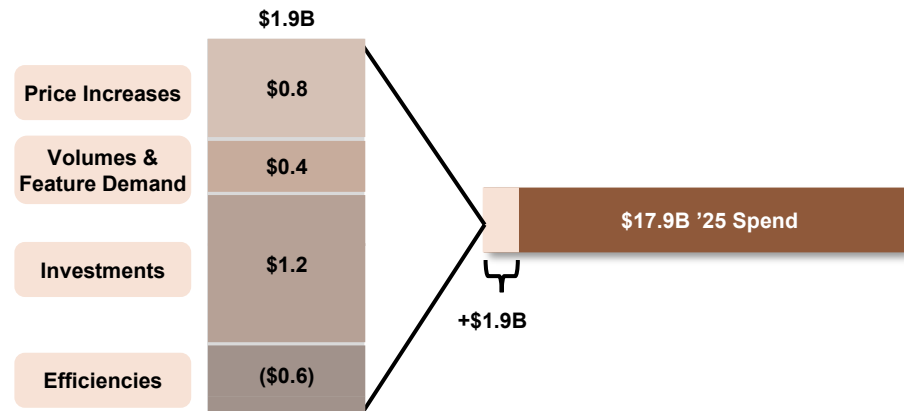
## JPM Dominates in Efficiency

Efficiency Ratios of Large Cap Banks



## Tech Budget Increased from \$17.9B to \$19.8B for '26

Layout for Increase In Tech Budget



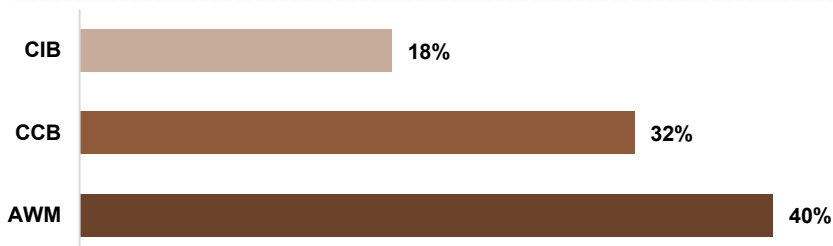
# JPM Consistently Delivers Superior ROTCE

Management's initiatives have all pointed towards one metric: growing ROTCE

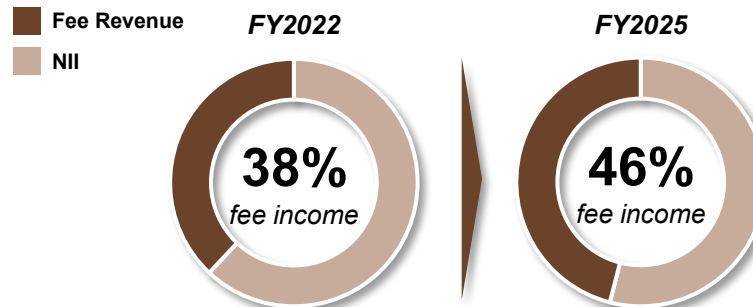
## Breakdown of ROTCE Growth Drivers

### AWM's 40% ROE Pulls Firm ROTCE Higher

AWM earned nearly 2x the firm average ROTCE since it is a fee-driven, capital-light business that doesn't require the same level of regulatory capital as lending/trading. AWM mechanically lifts the firm-wide returns



### JPM's Revenue Has Shifted Toward Fees

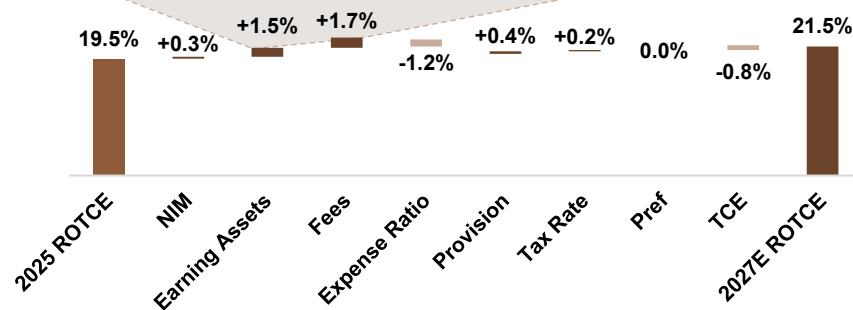


Fee income is rate independent, so as NII compresses in 2026, JPM's growing fee base absorbs the headwind and protects ROTCE

## JPM's ROTCE Path

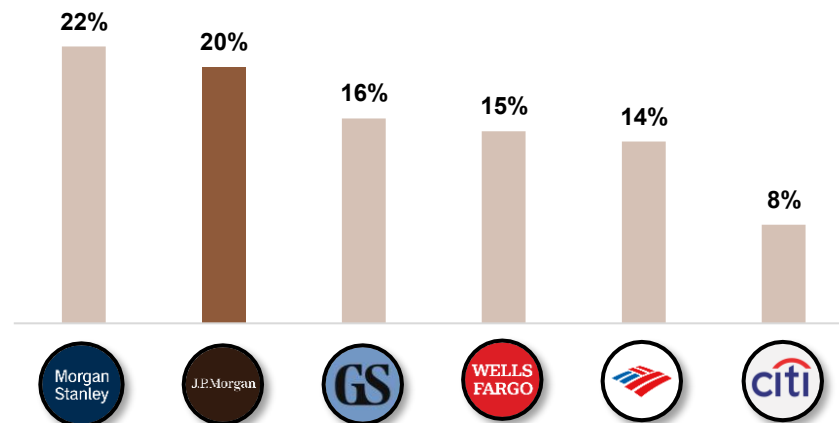
### Fee Income and Earning Asset Growth to Drive ROTCE Expansion

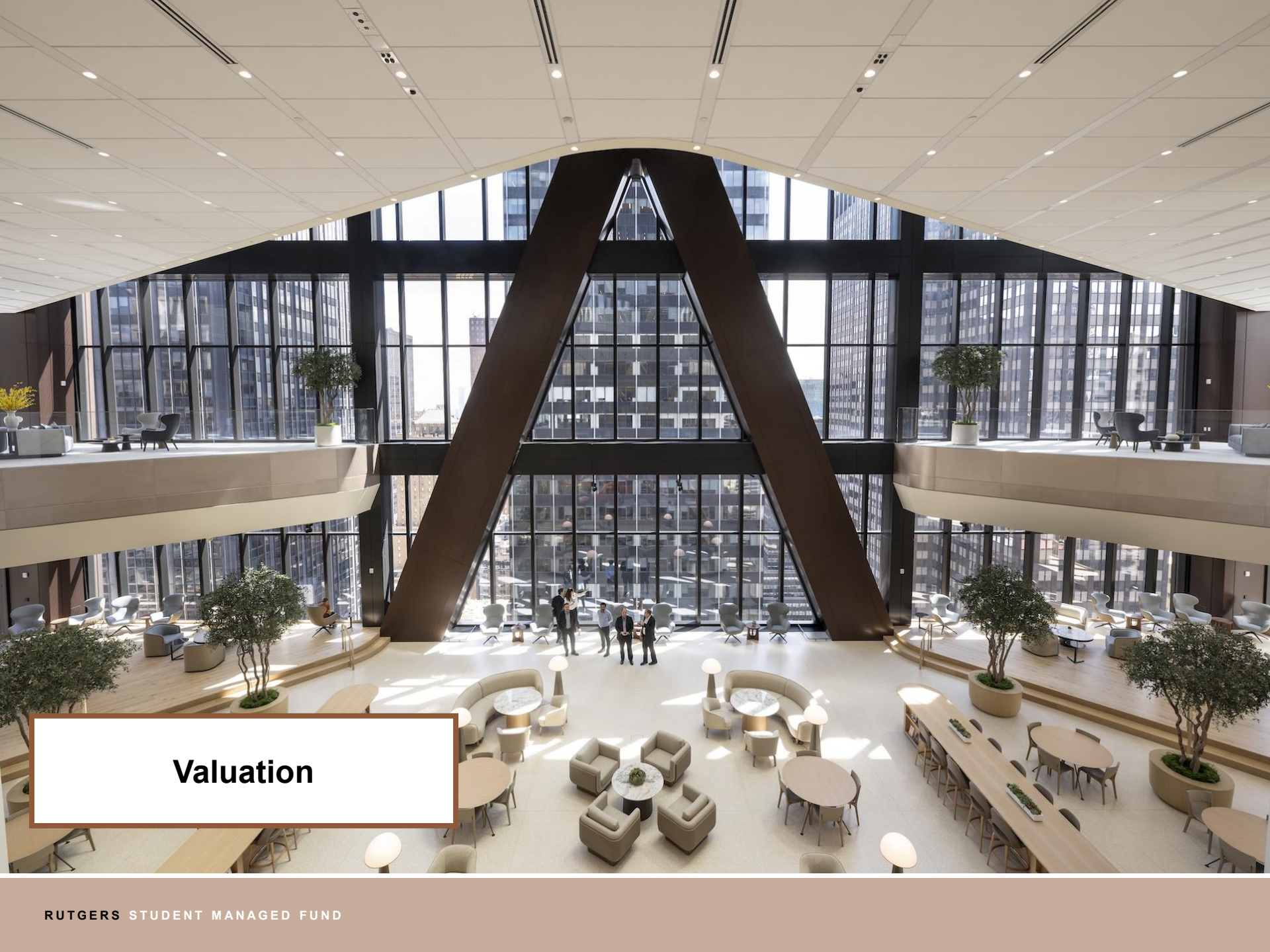
Fees and earning asset expansion are the two largest positive drivers offsetting headwinds



## JPM's FY2025 ROTCE vs Comps

### Reported/Estimated Comps ROTCE





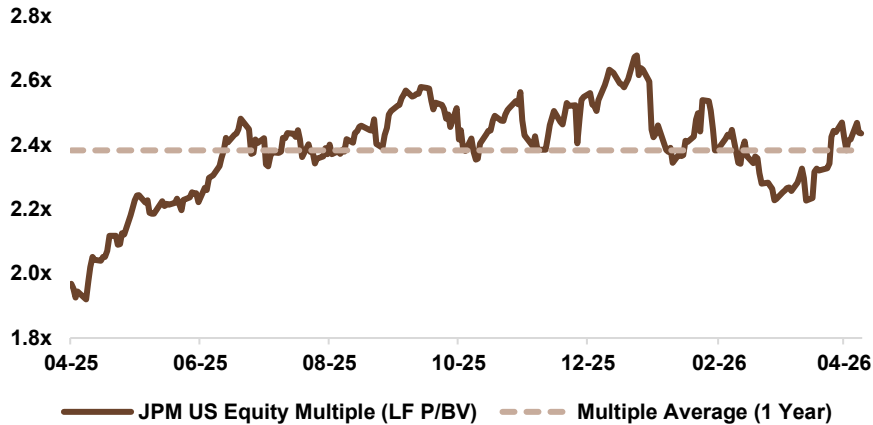
# Valuation

# Valuation

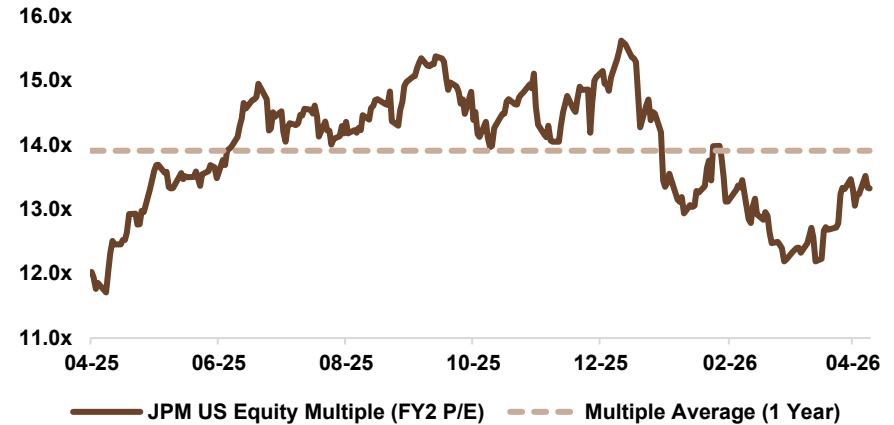
Premium quality at a justified valuation with meaningful upside

## JPM Trades at an Attractive Valuation – at or Below 1Y Averages

JPM 1Y P / BV

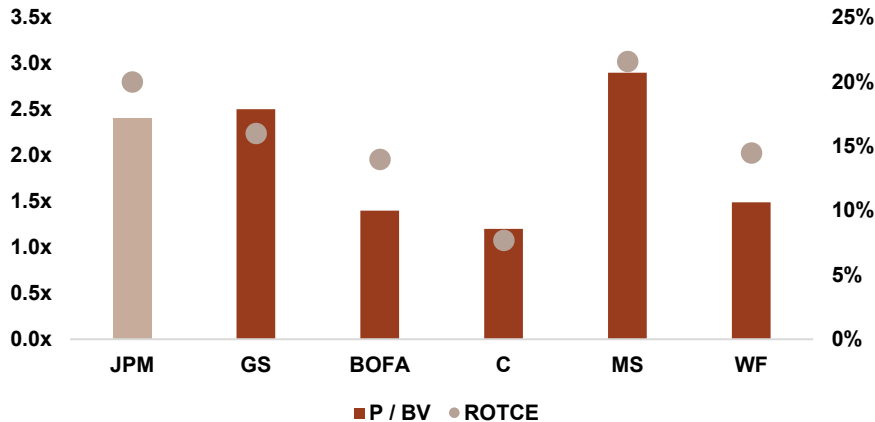


JPM 1Y P / E



## Peer Valuation Comparison

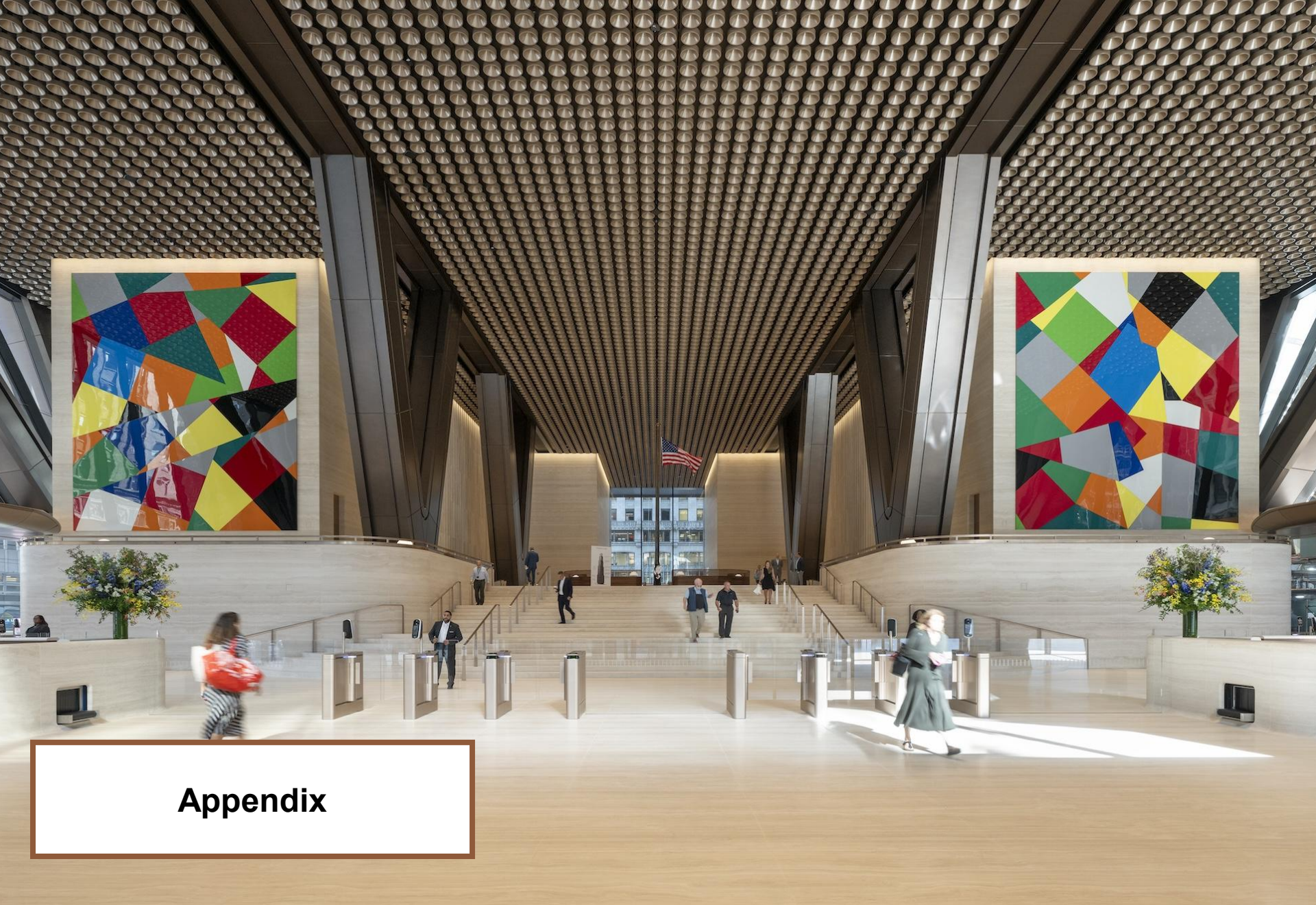
Competitors P / BV and ROTCE (%)



## \$415 Target Supported by Earnings Growth

Price Target Sensitivity

|          |       | 2029 Diluted EPS |         |        |        |        |
|----------|-------|------------------|---------|--------|--------|--------|
|          |       | 27.94            | 28.94   | 29.94  | 30.94  | 31.94  |
| Multiple | 13.6x | 379.98           | 393.58  | 407.18 | 420.78 | 434.38 |
|          | 13.8x | 385.57           | 399.37  | 413.17 | 426.97 | 440.77 |
|          | 14.0x | 391.16           | 405.16  | 419.16 | 433.16 | 447.16 |
|          | 14.2x | 396.74           | 410.94  | 425.14 | 439.34 | 453.54 |
|          | 14.4x | 402.336          | 416.736 | 431.13 | 445.53 | 459.93 |



## Appendix

# JPM Operating Metrics and Assumptions

*Conservative estimates support upside versus consensus expectations*



| JPM                  | 2025A            | 2026E            | 2027E            | 2028E            | 2029E            | 2030E            |
|----------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Net Interest Income  | \$95,443         | \$109,826        | \$116,357        | \$122,804        | \$127,594        | \$132,273        |
| Non-interest Income  | 87,004           | 90,672           | 94,512           | 98,533           | 102,743          | 107,152          |
| <b>Net Revenue</b>   | <b>\$182,447</b> | <b>\$200,499</b> | <b>\$210,870</b> | <b>\$221,337</b> | <b>\$230,337</b> | <b>\$239,426</b> |
| Pre-provision Profit | 86,807           | 96,239           | 101,217          | 106,242          | 110,562          | 114,924          |
| Net Income           | 57,048           | 63,744           | 67,372           | 71,237           | 74,495           | 77,999           |
| <b>Diluted EPS</b>   | <b>\$20.51</b>   | <b>\$23.50</b>   | <b>\$25.48</b>   | <b>\$27.63</b>   | <b>\$29.64</b>   | <b>\$31.83</b>   |

|                         |       |       |       |       |       |       |
|-------------------------|-------|-------|-------|-------|-------|-------|
| Efficiency Ratio        | 52.4% | 52.4% | 52.4% | 52.4% | 52.4% | 52.4% |
| Provision / Net Revenue | 7.8%  | 7.5%  | 7.5%  | 7.5%  | 7.5%  | 7.5%  |
| Cost of Funds           | 3.1%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  |

# JPM Revenue Growth by Segment

*Diversified segment growth supports durable earnings expansion*



| JPM                        | 2025A  | 2026E | 2027E | 2028E | 2029E | 2030E |
|----------------------------|--------|-------|-------|-------|-------|-------|
| Trading Revenue Growth (%) | 9.8%   | 9.0%  | 5.0%  | 4.0%  | 3.0%  | 3.0%  |
| IB Revenue Growth (%)      | 7.9%   | 14.0% | 8.0%  | 5.0%  | 4.0%  | 3.0%  |
| Inv. Mgmt Fees Growth (%)  | 14.0%  | 6.0%  | 5.0%  | 4.0%  | 3.0%  | 3.0%  |
| Other Non-II Growth (%)    | -17.9% | 3.0%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  |

# JPM Balance Sheet Projections

*Loan growth and funding strength reinforce long-term earnings*



| JPM                        | 2025A | 2026E | 2027E | 2028E | 2029E | 2030E |
|----------------------------|-------|-------|-------|-------|-------|-------|
| Loan Growth (%)            | 10.9% | 8.0%  | 7.0%  | 5.0%  | 4.0%  | 4.0%  |
| Inv. Securities Growth (%) | 14.1% | 3.0%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  |
| Trading Assets Growth (%)  | 25.9% | 4.0%  | 4.0%  | 3.0%  | 3.0%  | 3.0%  |
| Other EA Growth (%)        | 9.3%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  | 3.0%  |